United States Government
Reconciliations of Net Operating Cost and Budget Deficit
for the Years Ended September 30, 2025, and 2024

(In billions of dollars)	2025	Restated 2024
Net operating cost	(2,093.2)	(2,385.2)
Components of net operating cost not part of the budget deficit:		
Excess of accrual-basis expenses over budget outlays:		
* Federal employee and veteran benefits payable:		
Pension and accrued benefits	144.5	324.5
Veterans compensation and burial benefits	93.3	113.6
Post-retirement health and accrued benefits	149.3	219.0
Other benefits	51.7	28.7
Subtotal - federal employee and veteran benefits payable	438.8	685.8
* Insurance and guarantee program liabilities	(6.8)	6.7
* Environmental and disposal liabilities	1.3	20.7
* Accounts payable	4.5	10.0
* Benefits due and payable	32.3	(5.9)
* Advances from others and deferred revenue	(38.8)	(9.9)
Other liabilities	58.5	(108.0)
Subtotal - excess of accrual-basis expenses over budget outlays	489.8	599.4
Amortized expenses not included in budget outlays:		
Property, plant, and equipment depreciation expense	73.1	57.0
Other expenses that are not reported as budget outlays:		
Property, plant, and equipment disposals and revaluations	(44.0)	4.3
Excess of accrual-basis revenue over budget receipts:		
Accounts receivable, net	(4.2)	(2.5)
Taxes receivable, net	30.0	43.7
Other losses/(gains) and cost/(revenue) that are not budget receipts:		
* Investments in government-sponsored enterprises	(68.7)	(65.4)
Subtotal - components of net operating cost not part of budget deficit	476.0	636.5
Components of the budget deficit that are not part of net operating cost:		
Budget receipts not included in net operating cost:		
Credit reform and other loan activities	(41.5)	(144.8)
Budget outlays not included in net operating cost:		
Acquisition of capital assets	(127.3)	(128.4)
* Investments	(10.5)	(1.6)
* Inventory and related property, net	(24.3)	(34.4)
* Advances and prepayments	76.4	106.3
Other assets	6.7	115.8
Subtotal - components of the budget deficit that are not part of net operating cost	(120.5)	(87.1)
Other:		
Allocations of special drawing rights	(1.7)	(4.8)
All other reconciling items	(36.0)	23.8
Total other	(37.7)	19.0
Budget deficit[1]	(1,775.4)	(1,816.8)

[1] The FY 2024 budget deficit differs from the FY 2024 budget deficit reported in the September 2024 MTS because of approximately $16.6 billion of outlays and $0.6 billion of receipts that were not recorded in the MTS until FY 2025.

* The amounts represent the year over year net change in the Balance Sheet line items.

The accompanying notes are an integral part of these financial statements.